

prices for shares. When investors are pessimistic, the P/Es fall so low that nearly every stock is a bargain. That's what happened in 1974. While I was learning to throw a fish net to insure my family a protein supply during the coming economic collapse, Mr. Frank was busily buying thousands of shares of stocks that have tripled, quadrupled, or sextupled in value since.

At the time of our conversation, the overall stock market P/E was hovering around 14, a medium-high range, with a few bargains yet available. Mr. Frank said that in earlier bull markets, such as a famous one in the 1920s, the top wasn't reached until the overall P/E reached a euphoric 30. For that and other reasons, he was convinced the market would go higher, maybe as high as a 3,000 Dow, though he couldn't vouch for Mr. Prechter's 3,440.

Mr. Frank's low-P/E approach is only one branch of Fundamentalism, which no doubt I've oversimplified. Some Fundamentalists I met paid little or no attention to P/E ratios. Some invested in growth stocks, often in new companies with P/Es as high as 80, on the theory that great earnings would pile up later. Some picked stocks for the dividends. Some bought stocks in the so-called cyclical industries and sold out again at the end of each economic boom. Some bought stocks for asset value, usually in real estate, oil, or metals. Some took chances on companies that were restructuring. Some bought shares in companies that were deconstructing.

As to the schism between Fundamentalists and Chartists, there seemed to be little hope of reconciliation. Both sides agreed that each investor should believe in something—whether it be asset values or P/E ratios, head-and-shoulder patterns, or advance-decline lines—and should find a broker who shares in that belief. A Fundamentalist investor cannot be properly represented by a Chartist broker who reads wiggles. Equally horrifying is the Chartist investor whose broker buys stocks with low P/Es.

If only I'd known this earlier, I could have asked my broker the basic question: Chartist or Fundamentalist? Then again, maybe it wouldn't have mattered. Based on my interviews, I'd guess most brokers would claim to be both Chartist and Fundamentalist until they could feel out the client.

If brokers favor any side of this debate, it's Fundamentalism. Apparently, it's easier to be a Fundamentalist when explaining